

Public sector economics papers solution fall 2021 and spring 2022 and some Remaining topics by MUHAMMAD RASHID AWAN.

1. Objectives of making public budget

1. Allocate resources according to priorities
2. Promote public welfare and social justice
3. Provide essential services
4. Maintain a balanced budget
5. Facilitate public investment
6. Manage public debt
7. Foster economic development

2.Explain the types of externalities with example

Externalities are economic side-effects that are not reflected in a goods market price. They can either be positive (beneficial) or negative (costly).

Positive externalities:

These are beneficial externalities or spillover benefits which a third-party enjoys as a result of an economic transaction. For example, if a company produces a good that improves the environment, this will have a positive effect on not only the consumers of the good but everyone who is enjoying improved air quality.

Negative externalities:

These are harmful externalities or spillover costs which a third-party suffers as a result of an economic transaction. For example, a factory producing chemical products may release toxic fumes into the atmosphere, leading to air pollution. This will create a negative externality or cost which, if not mitigated, could lead to health problems and other decreases in the quality of life.

3.Explain the concept of moral hazard with example.

Moral hazard is the phenomenon in which people take risks and do not bear the full consequences of their actions due to an existing insurance policy, bailout, or any other

form of protection from risk. Essentially, it is the idea that an individual or institution that is protected from bearing the full costs of their actions is more likely to take on greater risks than they normally would. For example, consider someone who has a full health insurance policy from their employer. This person may be more inclined to engage in activities that expose them to higher risks of injury since they are confident that their health care costs will be covered by their insurance policy. Likewise, with banks, an implicit assurance of a bailout from the government could encourage them to take on greater investments and financial risks than if their losses were not backed up by a government guarantee.

4.Explain the IRR (internal rate of return) with its economic application

Internal Rate of Return (IRR) is a metric used in capital budgeting to compare the expected returns from a project or investment with its costs. It is the rate at which the net present value (NPV) of the cash flows from the project are equal to zero. It is normally expressed as a percentage and is used to analyze the profitability of a project or investment. The higher the IRR, the more attractive the project or investment.

Economic.Application

1. Internal Rate of Return (IRR) is a financial metric used to evaluate the profitability of investments.
2. It is the rate of return of a project or financial investment that makes its net present value (NPV) equal to zero.
3. IRR is an important tool for decision-making because it can give investors an indication of how well their investment will perform over a set period.
4. It is used to compare investments with different timelines and risk/return profiles.
5. IRR helps in assessing an investment's potential returns and enables companies to make investment decisions that maximize their returns.

5.What is rivalry and excludability in consumption? Give an example.

Rivalry and excludability in consumption refer to two important economic concepts, each of which affects the behavior of consumers and producers in the economy. Rivalry means that when one consumer uses a good or service, there is less of it available for other consumers to use. Excludability means that those possessing the good or service can exclude some people from using the good or service.

An example of rivalry and excludability in consumption is attending a concert. When one ticket is purchased, the availability of the show is reduced for every other person to attend the concert. Additionally, those in possession of the ticket can deny other people from accessing the show, and as a result, enjoy the exclusive right to watch the concert.

6. Differentiate between progressive and proportional taxes

1. Progressive taxes take a larger fraction of income as taxable income increases, while proportional taxes take the same percentage of all taxable incomes.
2. Progressive taxes can lead to a greater degree of income redistribution, while proportional taxes lead to a more even distribution of tax burden.
3. Progressive taxes use a wider range of tax brackets and tax rates, while proportional taxes use a single rate.
4. Progressive taxes are designed to increase the tax burden of those who can afford it, while proportional taxes make all taxpayers pay the same rate.
5. Progressive taxes are generally higher for higher earners, while proportional taxes charge the same rate regardless of income level.

LONG SECTION

1. Why public debt of Pakistan (both internal and external) is high and increasing. Discuss in details.

1. Declining Revenue Base: Pakistan's long-term revenue base has seen a series of reductions in recent years. This trend has pressured the government into borrowing more to sustain its economic needs which, in turn, has contributed to the growing debt burden.
2. Loans to Finance Developmental Projects: Loans from both domestic and foreign sources are taken to finance various infrastructure projects, such as roads, bridges, dams, and other facilities, that are intended to contribute to economic growth and improvements in living standards. As such, the government's high borrowing rate has consistently resulted in a substantial accumulation of public debt.
3. Unfavorable International Economics: Over the last few years, unfavorable international economics owing to global events have reduced Pakistan's foreign currency reserves. This has compelled the government to borrow from external sources, leading to an increase in public debt.

4. Military Expenditure: A huge amount of spends is set aside to cover the high costs associated with military needs. This has an impact on the government's ability to borrow for other purposes, which is why Pakistan's public debt has increased over the years.

5. International Security: International security threats have also encouraged the government to procure more weapons and military equipment. This adds pressure on government finances, making debt the only viable way to finance the necessary expenses.

6. Low Fiscal Disciplines: The fiscal discipline of Pakistan is low, leading to a very low tax base. This makes it difficult for the government to increase its revenue base further, thereby increasing the pressure on public debt.

7. Low Economic Growth Rate: The lack of economic growth in Pakistan has prevented it from reducing its debt substantially. This has also increased the burden of repayment, meaning that the government must borrow more in order to keep up with its obligations.

8. Insufficient Private Sector Investment: Private sector investment is not seen as adequate, meaning that the government is forced to rely on debt more and more due to an inability to raise sufficient funds internally.

9. Corruption and Wasteful Spending: Although the exact figures are not known, it is assumed that a huge part of the government's budget has been wasted due to inefficient practices, patronage, bad decisions, and underhanded deals. As such, this has further increased the public debt burden.

10. Poor Debt Management: Pakistan's debt management practices are seen as suboptimal, leading to an inefficient allocation of funds. This has had a detrimental effect on debt servicing costs, resulting in an increase in the public debt burden.

11. Political Instability: Political instability is seen as a major hurdle in the effective management of public debt. This is because it impedes policymaking and reduces investor confidence, thus increasing the chance of failure on debt repayment.

12. Natural Disasters: Natural disasters, such as floods, have had a negative economic impact on the government's finances, leading to an increase in the deficit and, hence, public debt.

2. What are main causes of market failure? Discuss with example.

1. Externalities: Markets may fail to account for external costs, such as air pollution from burning fossil fuels, that adversely affect society.

2. Monopoly: Companies that have market power, allowing them to control prices, can lead to market failure.

3. Natural Resources: Natural resources may be available in limited amounts, making them a scarce resource, which can lead to market failure.

4. Underprovision of Public Goods: Markets may sometimes fail to produce enough public goods, such as defense, due to the nature of their inability to capture consumer surplus.

5. Information Asymmetry: Information may not be equally available between suppliers and consumers, leading to market distortions.

6. Merit Goods: Markets may fail to provide enough of these goods, which are deemed beneficial to society, such as health care and education.

7. Excess Capacity: Companies may produce too much capacity in order to gain market power, leading to an oversupplied market.

8. Speculation: Speculation may lead to market instability and price variation, which could cause a market failure.

9. Inefficient Resource Allocation: Markets may fail to allocate resources efficiently, leading to a misallocation of resources and a deadweight loss of social welfare.

10. Political Interference: Government policies and regulations may disrupt the functioning of the market, leading to market failures.

3. Explain the different types of taxes imposed in Pakistan and their impacts on economy.

1. Income Tax: This type of tax is imposed on people's income and profits obtained in Pakistan. The impact on the economy is decreased financial burden for individuals, increased tax collection for the government and greater redistribution of wealth in society.

2. Wealth Tax: This type of tax is imposed on possessors of wealth, such as land, buildings, vehicles, jewelry or stocks. It is used to redistribute wealth and encourage savings.

3. Sales Tax: This type of tax is imposed on the sale of goods and services in Pakistan. It is an indirect tax which passed on to the final consumer. It is a major source of government income and helps stimulate economic activity.

4. Excise Tax: This type of tax is imposed on specific goods and services such as alcohol and petroleum products. It encourages consumers to choose other options that are cheaper and less damaging to the environment.

5. Property Tax: This type of tax is imposed on the owners of land and buildings in Pakistan. The resulting revenue helps the government in running various public services and civic facilities.

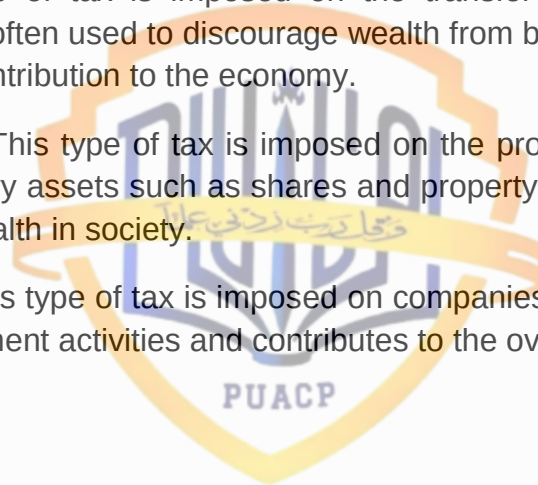
6. Import Duty: This type of tax is imposed on goods and services imported from foreign countries. It helps protect local industries by making imported products more expensive.

7. Agricultural Tax: Farms and agricultural products are taxed under this type of tax. This helps to protect local farmers from unfair competition and discourages farmers from overproducing.

8. Gift Tax: This type of tax is imposed on the transfer of property or money to someone for free. It is often used to discourage wealth from being passed down through generations with no contribution to the economy.

9. Capital Gains Tax: This type of tax is imposed on the profits made from the sale of long-term, non-inventory assets such as shares and property. It aids in the efficient and fair redistribution of wealth in society.

10. Corporate Tax: This type of tax is imposed on companies and their income. It helps raise funds for government activities and contributes to the overall economic growth.



PAPER SPRING 2022

i. What is meant by the term TAX?

Tax is a compulsory payment made by individuals and businesses to a government for the purpose of finance public services. Taxes are the primary source of income for a government, enabling it to provide public services and fund public works projects.

ii. What are the main sources of public revenue?

1. **Income Tax:** Income tax is generally the largest source of public revenue, with citizens paying tax on their wages, investments, and other income.
2. **Corporation Tax:** Corporations are taxed on profits, with any earnings above the threshold rate for a given fiscal year subject to taxation.
3. **Payroll Taxes:** Employers and employees typically split the cost of deductions such as Social Security, Medicare, and unemployment insurance.
4. **Value-Added Tax (VAT):** This is a tax applied to goods and services sold, with each participant in the sale (aside from the consumer) taking a predetermined percentage of the sale.
5. **Customs and Excise Duties:** These taxes are levied on imports and exports, with rates varying depending on the product and its destination.
6. **Excise Taxes:** Excise taxes are imposed on certain consumption and production activities, such as luxury goods, fuels, and tobacco.
7. **Property Taxes:** Property taxes are levied on landowners and are typically used to fund infrastructure and schools within areas.
8. **State Lottery Winnings:** State lotteries are typically operated by state governments, with the objective of raising public funds.
9. **Estate Taxes:** Estate taxes are taxes imposed when an estate is transferred after the death of the owner.
10. **Other Special Taxes:** Special taxes are used by governments to supplement other forms of taxation, with fees often charged for hunting, fishing, or other activities.

III. Explain the concept of optimal Taxation

Optimal taxation is a term used to describe the process of determining the most efficient way to levy taxes in order to maximize economic welfare. It takes into account various economic factors, including the size of the tax base, the elasticity of demand associated with various goods, production

costs, and consumer preferences. By understanding these different economic factors, governments can create fiscal policies that better meet the needs of their citizens and achieve the greatest economic benefit overall. In essence, optimal taxation balances government revenue with economic efficiency by finding a way to best deploy government resources to achieve desirable outcomes.

IV. Explain the difference between public and private goods with the help of examples.

1. Public Goods: Goods with non-rival, non-excludable consumption, e.g. public parks, national defense.
2. Private Goods: Goods with rival and excludable consumption, e.g. food, clothing.
3. Non-Rivalry: public goods have a shared, or joint consumption – one person's use does not reduce another person's use.
4. Non-Excludability: typically, public goods cannot exclude individuals from use due to prohibitive costs.
5. Excludability: private goods can exclude individuals from use due to pricing or other mechanisms.

Long Question

1. Discuss; how Govt. debt and budget deficit is used to stabilize the economy?
 1. Government debt is borrowed money used by governments to finance public spending and provide economic stability.
 2. Budget deficit is the amount by which a government's expenditures exceed its revenues in a given fiscal year.
 3. Government debt can help supplement inadequate tax revenue and fill the gap between revenue and expenditure.
 4. Government debt can help governments achieve short-term economic objectives when there is an increase in economic growth or inflation.
 5. Budget deficits can increase aggregate demand and help stimulate economic activity.
 6. Governments can increase deficits as a way to encourage private sector investment and spending.

7. Government debt can provide liquidity to the financial system in times of economic stress.
8. Budget deficits can help reduce unemployment by providing a financial stimulus to job growth.
9. Governments can use debt financing to make investments in infrastructure, technology, and public services.
10. Government debt and budget deficits can be used to manage interest rates and exchange rates in order to stabilize the economy.

2. What are the fiscal reforms taken by Govt. of Pakistan during the last five years?

1. Tax reforms, including increased prospects of tax filing and payment compliance
2. Expenditure reforms, including budget reforms, restructuring of existing subsidies, and other reform measures
3. Improvement in the financial sector, particularly the banking sector
4. Reduction of public debt and an increased reliance on private sector finance
5. Improving the public-private partnership
6. Enhancing government revenues, including streamlining resource allocation and implementation of fiscal policies
7. Taxes reduction for small businesses and SMEs
8. Improving revenue forecast accuracy
9. Encouraging investment in natural resources and agriculture
10. Increasing the capacity of public finance management systems

3. Discuss, how can market failures be corrected through government intervention?

1. Taxation: Governments can use taxation to either lower the cost of production or provide a subsidy to correct a market failure.
2. Regulations: Governments can regulate a particular market to ensure that firms are held accountable for their actions and make sure that the market is competitive.
3. Subsidies: Governments can provide financial assistance in the form of subsidies to firms in order to incentivize production in a particular market.
4. Price controls: Governments can implement price ceilings and/or price floors in order to ensure that prices are not too high or too low.

5.Information campaigns: Governments can provide the public with information about a particular market in order to increase awareness and promote competition.

6.Investment: Governments can invest in certain industries in order to promote competition and ensure efficient production.

7.Public-private partnerships: Governments can enter into public-private partnerships in order to pool resources and ensure efficient production.

8.Antitrust laws: Governments can implement antitrust laws to ensure that firms do not dominate a particular market.

9.Monetary policy: Governments can implement monetary policies such as interest rates in order to promote economic growth.

10.Export subsidies: Governments can provide export subsidies in order to make a country or industry's products more competitive in global markets.

Remaining topics

1.Factors affecting tax incidence

1. Tax Rate: The higher the overall rate of taxation, the higher the tax incidence.

2. Tax Base: Tax base refers to the tax unit to which the tax applies. Some taxes are levied on income, while others are levied on consumption or property. Depending on which base is chosen, the tax burden can shift.

3. Tax Structure: This refers to the actual design of the tax system, such as the types of exemptions, deductions, credits, and other provisions that affect the ultimate tax liability.

4. Price Elasticity of Demand: If demand is price-inelastic for a good, then the incidence of tax is more likely to fall on the purchaser.

5. Price Elasticity of Supply: If supply is price-elastic for a good, then a greater proportion of the tax will be borne by the seller of the good.

6. Tax Shifting: The overall incidence of a tax can be shifted among different parties involved by making adjustments in the supply chain.

7. Tax Incentives: Tax incentives including deductions, credits, and exemptions could lead to a lower tax burden on specific individuals or groups.

8. Progression: A progressive tax structure, which increases the rate of taxation with an increase in income, shifts the burden more onto higher income earners.

9. Location: Taxes imposed by states, counties, and municipalities will depend on where the good is purchased or sold.

10. Externalities: Goods that have certain externalities (side effects) for which the tax payer is not compensated could have a different incidence of taxation than a similar good without externalities.

2. Balanced budget incidence

Balanced budget incidence is an economic concept that refers to the own-price changes associated with the implementation of a balanced budget policy. This concept considers how different households of a population may be affected differently due to the implementation of a balanced budget policy. Generally, the incidence of a policy is determined by analyzing the various distributional effects that result from the implementation of the policy.

3. Consequences of govt deficits.

1. Increased Interest Rates – Further borrowing puts increased pressure on the government to pay more in interest rate payments.
2. Higher Taxation – Governments will generally increase taxes and reduce public spending to cover deficits.
3. Slower Economic Growth – Government deficits will reduce economic growth rates, as resources are diverted from productive use.
4. Inflation – Large deficits can cause a fall-off in the value of currency, leading to higher prices in the domestic economy.
5. Currency Devaluation – High deficits can lead to a devaluation of the currency and/or governmental borrowing from other governments leading to a sustainability of debt.
6. Weaker Credit Ranking – High deficits can harm the creditworthiness of countries leading to a weaker credit rating.
7. Austerity Programs – Governments may need to implement austerity programs to address deficits.
8. Greater Levels of Debt – Increased deficits could lead to greater levels of debt as countries rack up deficits.
9. Reduced Investment – High government spending will suck capital away from businesses and entrepreneurs who need it to invest in the economy
10. Lower Savings – High government deficits reduce the amount available for household savings, and can further impact households' confidence in the long-term economic future.

4. Improving the budgetary process.

1. Limit discretionary spending: Governments should ensure that all discretionary spending is monitored and limited in order to reduce unnecessary expenditures.
2. Improve data accuracy: Governments should make use of modern technology

to increase the accuracy of their budgetary process in order to minimize errors and ensure that all spending is tracked effectively.

3. Increase transparency: Government should be open and transparent about their budgeting process in order to increase public trust.

4. Streamline the process: Governments should streamline the budgeting process in order to make it more efficient and reduce the amount of time it takes to develop and approve the budget.

5. Engage stakeholders: Governments should involve citizens, businesses, and other stakeholders in the budgeting process in order to receive feedback and ensure that any proposed budget is in line with public opinion.

6. Monitor progress: Governments should monitor and assess the success of their budget process in order to make improvements and avoid wasteful spending.

5. Managerial problems of public enterprises in Pakistan

1. Poor management practices: Poor management practices are a common problem with public enterprises in Pakistan, including lack of strategic planning, inadequate monitoring, and inadequate management training.

2. Low productivity: Low productivity is a major issue with public enterprises in Pakistan, leading to inefficiencies and a lack of competitiveness in the market.

3. Inadequate training: Public enterprises in Pakistan often lack adequate training for their staff, leading to substandard performance.

4. Ineffective leadership: Ineffective leadership is a major issue for public enterprises in Pakistan, particularly in terms of setting clear goals and objectives, developing and implementing appropriate strategies, and motivating staff.

5. Poorly structured compensation systems: Compensation systems for public enterprises in Pakistan are often poorly structured, leading to lower than average salaries and inadequate incentives.

6. Corruption: Corruption is a significant problem with public enterprises in Pakistan, negatively impacting efficiency, performance, and morale in the workplace.

7. Lack of accountability: Public enterprises in Pakistan are often not held to account for their performance, leading to a culture of complacency and disregard for efficiency.

8. Poor infrastructure: Public enterprises in Pakistan often face a lack of basic infrastructure, such as access to power and communications, limiting their effectiveness.

9. Bureaucratic red tape: Bureaucratic red tape is a common problem with public enterprises in Pakistan, hampering the efficient delivery of services.

10. Poor employee relations: Low morale among employees is a major issue for public enterprises in Pakistan, leading to underperformance and poor disciplinary standards.

6. Theories of pricing in public sector enterprises (1) no profit no loss theory (2) Managerial cost of production theory (3) Average cost of production theory (4) Theory of making profit

1. **No Profit No Loss Theory:** This theory suggests that public sector enterprises should be run on the basis of covering only the total costs incurred. This means that there should not be any profit to the owners and the price charged to the consumers must be equal to the direct and indirect costs. Thus, the public sector enterprises should operate as economic agents who recover only the costs associated with providing services to the public.

2. **Managerial Cost of Production Theory:** This theory is based on the concept that the pricing in public sector enterprises should be determined based on the managerial costs associated with running the enterprise. This means that the pricing should be set so as to ensure profit which can cover the managerial costs, while the customer charges would have to take into account the various fixed and variable costs.

3. **Average Cost of Production Theory:** This theory suggests that the pricing of public sector enterprises should be based on the average cost of production incurred in the entire process. This means that the prices charged should take into account not only the fixed and variable costs but also the overhead costs and other perquisites associated with running the enterprise.

4. **Theory of Making Profit:** The final theory suggests that the pricing in public sector enterprises should be based on the amount of profit that needs to be made in order to ensure that the business remains profitable. This means that the price charged to the customers must be determined based on the amount of profits needed to sustain and grow the enterprise.

7. **Social welfare and security, Income distribution and welfare Reform state and local Public economics.**

Tax policy and reform Poverty and inequality Social protection systems Retirement policies and programs Tertiary education and financing Health insurance and care Urban and rural planning Social and labor policies International economic relations Social services and work opportunities Infrastructure programs and investments Public and private programs for people in need Regulatory policies for labor markets

1. Social welfare and security is an important area of public economics that attempts to ensure the safety and well-being of citizens by providing social protection systems such as tax policies, poverty alleviation, health insurance, and labor regulations.

2. Income distribution and welfare reform are key components of public economics that promote the equitable allocation of resources and want to ensure the sustainability of economic growth while also improving the living standards of the population.

3. State and local governments play an important role in public economics by administering rules and regulations that help maintain economic stability, improve public services, and address needs of citizens.
4. Tax policy and reform are integral to public economics, as taxation is an important source of income for governments and can also be a tool to redistribute wealth.
5. Poverty and inequality issues are addressed in public economics through the implementation of social safety nets, such as minimum wage, food and housing subsidies, and social insurance.
6. Social protection systems such as public healthcare, access to education, and pension programs are part of public economics to ensure that everyone benefits from economic growth.
7. Retirement policies and programs are an important part of public economics that aim to provide support for the elderly population and ensure their financial security.
8. Tertiary education and financing are also important aspects of public economics in order to ensure that citizens are able to access quality education, regardless of their socioeconomic status.
9. Health insurance and care are key components of public economics, as access to healthcare is essential to the well-being of citizens, both physically and economically.
10. Urban and rural planning is a crucial aspect of public economics as it determines the development paths of cities and towns, while also addressing regional disparities.

8. Overview of Fiscal Policy in Pakistan

1. Fiscal policy in Pakistan is an important component of the country's economic policy.
2. It aims to promote economic stability, encourage economic growth, and foster employment opportunities.
3. It consists of two main areas of fiscal activity which are revenue policy and expenditure policy
4. The revenue policy taxes income and income-related transactions such as property transactions and the sale of assets.
5. The expenditure policy involves use of public funds for activities such as capital formation, provision of public services, transfer payments, and public borrowing.
6. In order to finance its fiscal policy, the government of Pakistan levies taxes such as value-added taxes, corporate tax, withholding tax, excise duty, and stamp duties.
7. The government also uses public debt to finance its fiscal policy with the help of the Central Bank of Pakistan and other financial institutions.

8. Fiscal stabilization policies are implemented to manage budget deficits and surpluses in the short run.
9. These policies are used to maintain economic stability, improve the balance of payments, and facilitate economic growth.
10. The government also uses fiscal policy to redistribute resources and to reduce poverty and inequality.

